



FIGURE 1.3 Meir Statman, PhD, Glenn Klimek Professor of Finance at the Leavey School of Business, Santa Clara University.

What is the nature of risk and regret? How do investors form portfolios? How important are tactical asset allocation and strategic asset allocation? What determines stock returns? What are the effects of sentiment? Statman produces insightful answers to all of these points. Professor Statman has won the William F. Sharpe Best Paper Award, a Bernstein Fabozzi/Jacobs Levy Outstanding Article Award, and two Graham and Dodd Awards of Excellence.

More recently, Professor Statman has written a book entitled *What Investors Really Want*.⁶ According to Statman, what investors really want is three kinds of benefits from their investments: utilitarian, expressive, and emotional. Utilitarian benefits are those investment benefits that drop to the bottom line: what money can buy. Expressive benefits convey to us and to others an investor's values, tastes, and status. For example, Statman contends that hedge funds express status, and socially responsible funds express virtue. Emotional benefits of investments express how people feel. His examples are: insurance policies make people feel safe, lottery tickets and speculative stocks give hope, and stock trading gives people excitement.

Perhaps the greatest realization of behavioral finance as a unique academic and professional discipline is found in the work of Daniel Kahneman and Vernon Smith, who shared the Bank of Sweden Prize in Economic Sciences in Memory of Alfred Nobel in 2002. The Nobel Prize organization honored Kahneman for "having integrated insights from